

# ICMAI

## THE INSTITUTE OF COST ACCOUNTANTS OF INDIA

### भारतीय लागत लेखाकार संस्थान

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# *INTEREST*

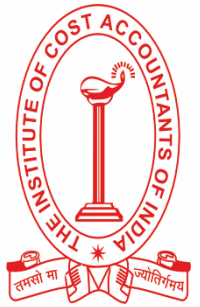
Behind every successful business decision, there is always a **CMA**



# **CONTENTS**

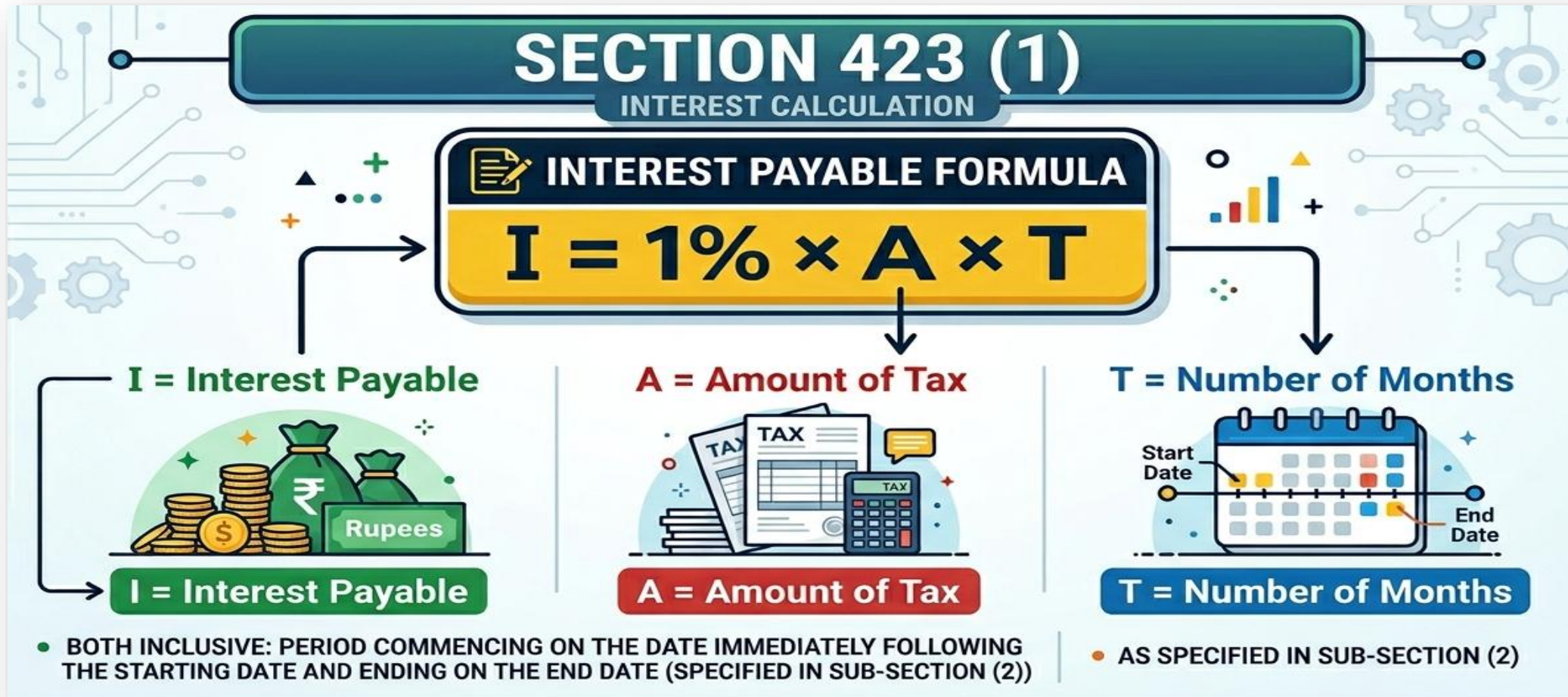
1. *Interest for defaults in furnishing return of income – (Section 423)*
2. *Interest for defaults in payment of advance tax - (Section 424)*
3. *Interest for deferment of advance tax - (Section 425)*
4. *Interest on excess refund - (Section 426)*
5. *Fee for default in furnishing statements - (Section 427)*
6. *Fee for default in furnishing return of income, audited accounts and reports - (Section 428)*
7. *Fee for default relating to statement or certificate - (Section 429)*
8. *Fee for default relating to intimation of Aadhaar number - (Section 430)*

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## 1. Interest for defaults in furnishing return of income – (**Section 423**)

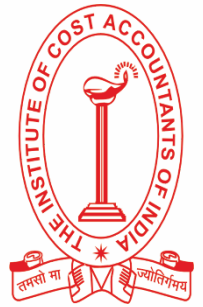
- ❖ **Sec 423(1)** - Where the return of income for any tax year is furnished after the due date or is not furnished, the assessee shall be liable to pay simple interest as per the following formula :





## Sec 423(2) - of Income Tax Act 2025

| Sl.No | Circumstances                                                                                                                     | Starting Date                                           | Ending Date                                        | Amount of Tax on which Interest is Payable                                                                           |
|-------|-----------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------|----------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|
| 1.    | Where the return is furnished under section 263(1), (4) or (6) or in response to a notice under section 268(1) after the due date | Due date for furnishing the return under section 263(1) | Date of furnishing of the return                   | (a) Where regular assessment is not made: Tax on total income determined under section 270(1) as reduced by tax paid |
|       |                                                                                                                                   |                                                         |                                                    | (b) Where regular assessment is made: Tax on total income determined under regular assessment as reduced by tax paid |
| 2.    | Where no return has been furnished under section 263(1), (4), (6) or in response to notice under section 268(1)                   | Due date for furnishing the return under section 263(1) | Date of completion of assessment under section 271 | Tax on the total income determined under regular assessment as reduced by tax paid                                   |



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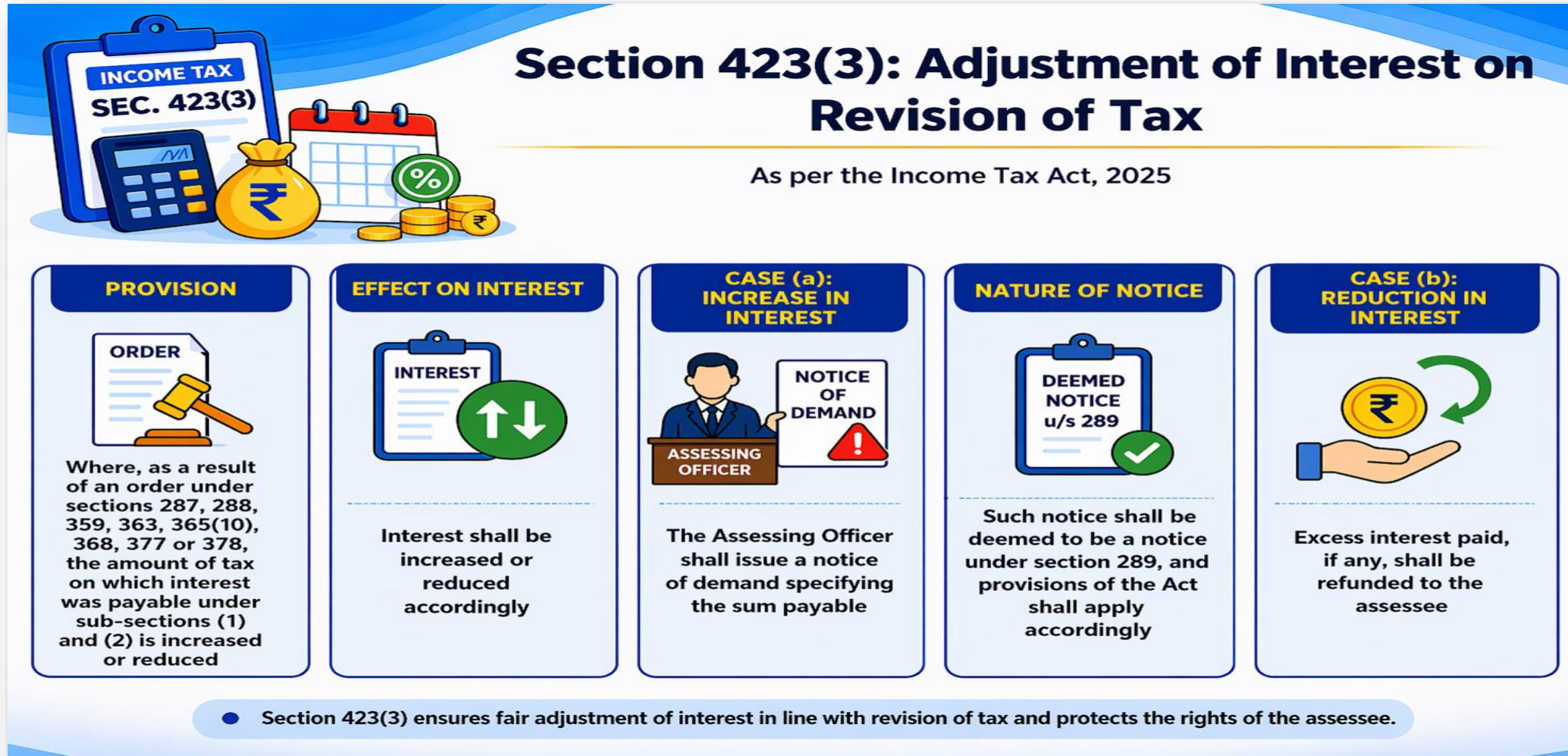
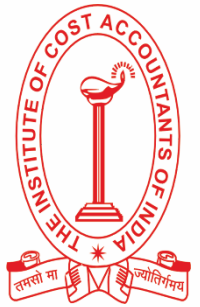
## Sec 423(2) - of Income Tax Act 2025

| Sl.No | Circumstances                                                                                                                       | Starting Date                       | Ending Date                                                         | Amount of Tax on which Interest is Payable                                                                            |
|-------|-------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|---------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| 3.    | (a) Return required under section 280 after determination under section 270(1) or assessment under section 270(10), 271 or 279; and | Last date allowed under such notice | Date of furnishing the return                                       | Amount by which tax on reassessed/recomputed income exceeds tax determined under section 270(1) or earlier assessment |
|       | (b) Return furnished after expiry of time allowed                                                                                   |                                     |                                                                     |                                                                                                                       |
| 4.    | (a) Return required under section 280 after determination under section 270(1) or assessment under section 270(10), 271 or 279; and | Last date allowed under such notice | Date of completion of reassessment /recomputation under section 279 | Amount by which tax on reassessed/recomputed income exceeds tax determined under section 270(1) or earlier assessment |
|       | (b) No return is furnished                                                                                                          |                                     |                                                                     |                                                                                                                       |



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- ❖ **Sec 423(3)** - Where, as a result of an order under sections 287, 288, 359, 363, 365(10), 368, 377 or 378, the amount of tax on which interest was payable under sub-sections (1) and (2) is increased or reduced, the interest shall be increased or reduced accordingly, as per the table below:

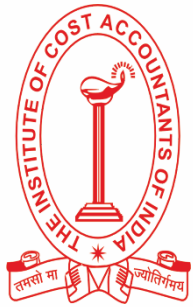


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- ❖ Sec 423(4) - Key Definitions and Adjustments for Interest Computation :
- ❖ Sec 423(5) - First-Time Assessment Treated as Regular Assessment :





## Section 423(4) & 423(5): Definitions and Special Provision

As per the Income Tax Act, 2025

### SECTION 423(4): DEFINITIONS

| Section | Clause | Particulars                                                                                                                 | Description                                                                                         |
|---------|--------|-----------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| 423(4)  | (a)    |  Tax on total income [Section 270(1)]      | Shall not include additional income-tax payable under section 267                                   |
| 423(4)  | (b)    |  Tax on total income (Regular Assessment)  | Shall not include additional income-tax payable under section 267                                   |
| 423(4)  | (c)    |  Interest Adjustment                       | Interest payable under sub-section (1) shall be reduced by interest paid, if any, under section 266 |
| 423(4)  | (d)    | Tax paid means                                                                                                              |                                                                                                     |
|         | (i)    | Advance Tax                                | Includes advance tax paid, if any                                                                   |
|         | (ii)   | TDS/TCS                                    | Includes tax deducted or collected at source                                                        |
|         | (iii)  | Relief under Section 157                   | Includes relief of tax allowed under section 157                                                    |
|         | (iv)   | Foreign Tax Relief (Country)               | Relief under section 159(1) for tax paid outside India                                              |
|         | (v)    | Foreign Tax Relief (Specified Territory)  | Relief under section 159(2) for tax paid in specified territory outside India                       |
|         | (vi)   | Deduction of Foreign Tax                 | Deduction under section 160 for tax paid outside India                                              |
|         | (vii)  | Tax Credit                               | Includes tax credit allowed to be set off as per section 206(2)(e) to (h) and 206(3) & (4)          |

### SECTION 423(5): SPECIAL PROVISION

**First-time Assessment**



Assessment made for the first time under Section 279

➔



Shall be treated as a regular assessment for the purposes of this section

● Section 423(4) defines key terms and tax components; Section 423(5) ensures first-time assessments are treated as regular assessments for this section.

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## 2. Interest for defaults in payment of advance tax - (*Section 424*)

❖ Where an assessee liable to pay advance tax fails to comply with the provisions, interest becomes payable.

### Applicability (*Sec. 424(1)*) :

- Advance tax **not paid**, or
- Paid is **less than 90%** of assessed tax
- **1% per month or part thereof**

### Period of Interest :

- From 1st April following the tax year
- Till date of 270(1) assessment / completion of regular assessment

### Amount on which Interest is charged :

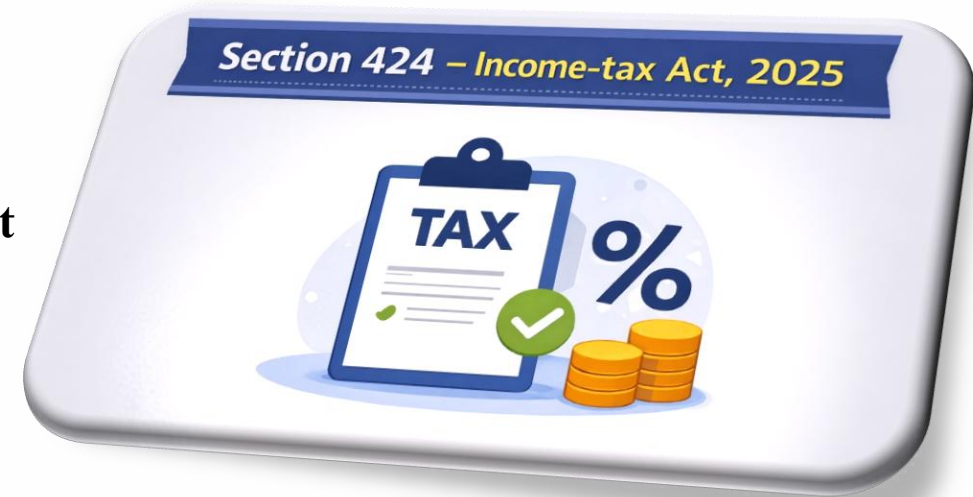
- **Full assessed tax** (if no payment)
- **Shortfall amount** (if underpaid)

### Meaning of Assessed Tax (*Sec. 424(2)*) :

**Assessed Tax = Tax on total income**

**Less:**

- TDS / TCS
- Relief u/s 157





- Foreign tax relief (Sec. 159)
- Deduction for foreign taxes (Sec. 160)
- Eligible tax credits

### Special Provisions (**Sec. 424(3)**) :

- First-time assessment u/s 279 = Regular
- Assessment Additional tax (Sec. 267) is excluded

### Part Payment before Assessment (**Sec. 424(4)**) :

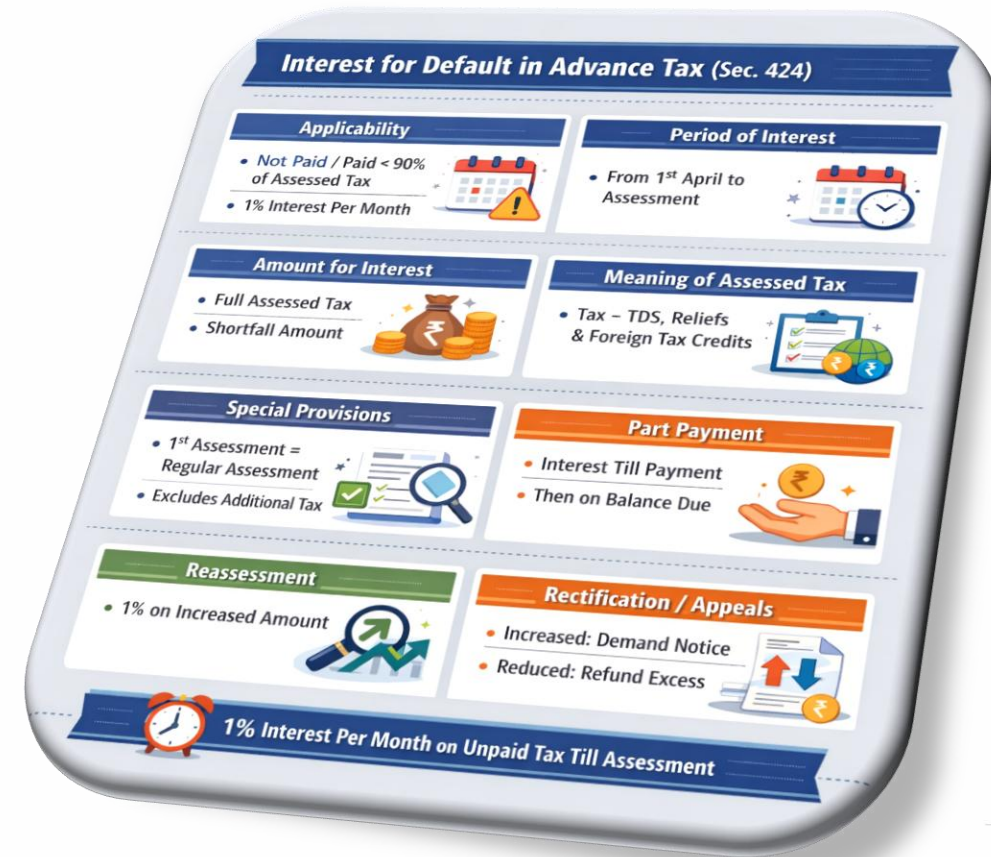
- Interest calculated only **till date of payment of tax**
- Thereafter, charged on remaining shortfall.

### Reassessment / Re-computation (**Sec. 424(5)**) :

- If tax liability increases,
- ☐ Additional interest @ 1% per month on increased amount

### Rectification / Appeal Orders (**Sec. 424(6)**) :

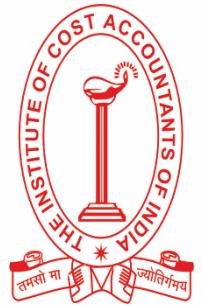
- Interest revised accordingly:
- ☐ Increased → Demand Notice issued
- ☐ Reduced → Excess interest refunded



### 3. Interest for deferment of advance tax - (**Section 425**)

If an assessee liable to pay advance tax (other than specified cases) **fails to pay**, or pays **less than the required advance tax on due dates**,

- ☐ Interest is payable on the **shortfall amount**
- ☐ At the **prescribed rate**, for the **relevant period as per the table**



#### Section 425: Interest for Deferment of Advance Tax

Interest shall be payable if an assessee, liable to pay advance tax under **Section 404**, fails to pay the required advance tax by the specified due dates, as follows:

| Due Date of Instalment | Advance Tax Due on Returned Income | Shortfall Till This Date      | Interest Payable |
|------------------------|------------------------------------|-------------------------------|------------------|
| 15th June              | 15% of the tax due                 | Shortfall till 15th June      | 3%               |
| 15th September         | 45% of the tax due                 | Shortfall till 15th September | 3%               |
| 15th December          | 75% of the tax due                 | Shortfall till 15th December  | 3%               |
| 15th March             | 100% of the tax due                | Shortfall till 15th March     | 1%               |



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### **No Interest Cases (*Sec. 425(2)*) :**

No interest if advance tax paid is

- $\geq 12\%$  by 15th June
- $\geq 36\%$  by 15th September

### **Special Case – Presumptive Taxpayers (*Sec. 425(3)*) :**

- Applicable for specified assessees (e.g., Sec. 58(2))
- If advance tax not paid or short paid by 15th March  
Interest @ 1% on shortfall for 1 month.

### **Exceptions – No Interest on Certain Income (*Sec. 425(4)*):**

☐ No interest if shortfall is due to:

- Capital gains
- Lottery winning, betting, gambling, etc(Sec. 2(49)(n))
- First-time business/professional income
- Dividend income

**(Condition: Tax on such income is paid in later installments by 31st March)**

### **Tax Due on Returned Income (*Sec. 425(5)*) :**

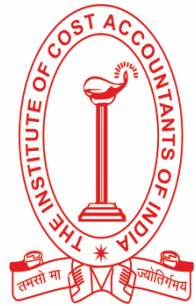
☐ Tax on total income declared

Less :

- TDS / TCS
- Relief u/s 157
- Foreign tax relief u/s 159
- Foreign tax credit u/s 160
- Eligible MAT/AMT tax credits

### **Meaning of Dividend (*Sec. 425(6)*):**

- As per Sec. 2(40)
- Excludes deemed dividend [Sec. 2(40)(e)]

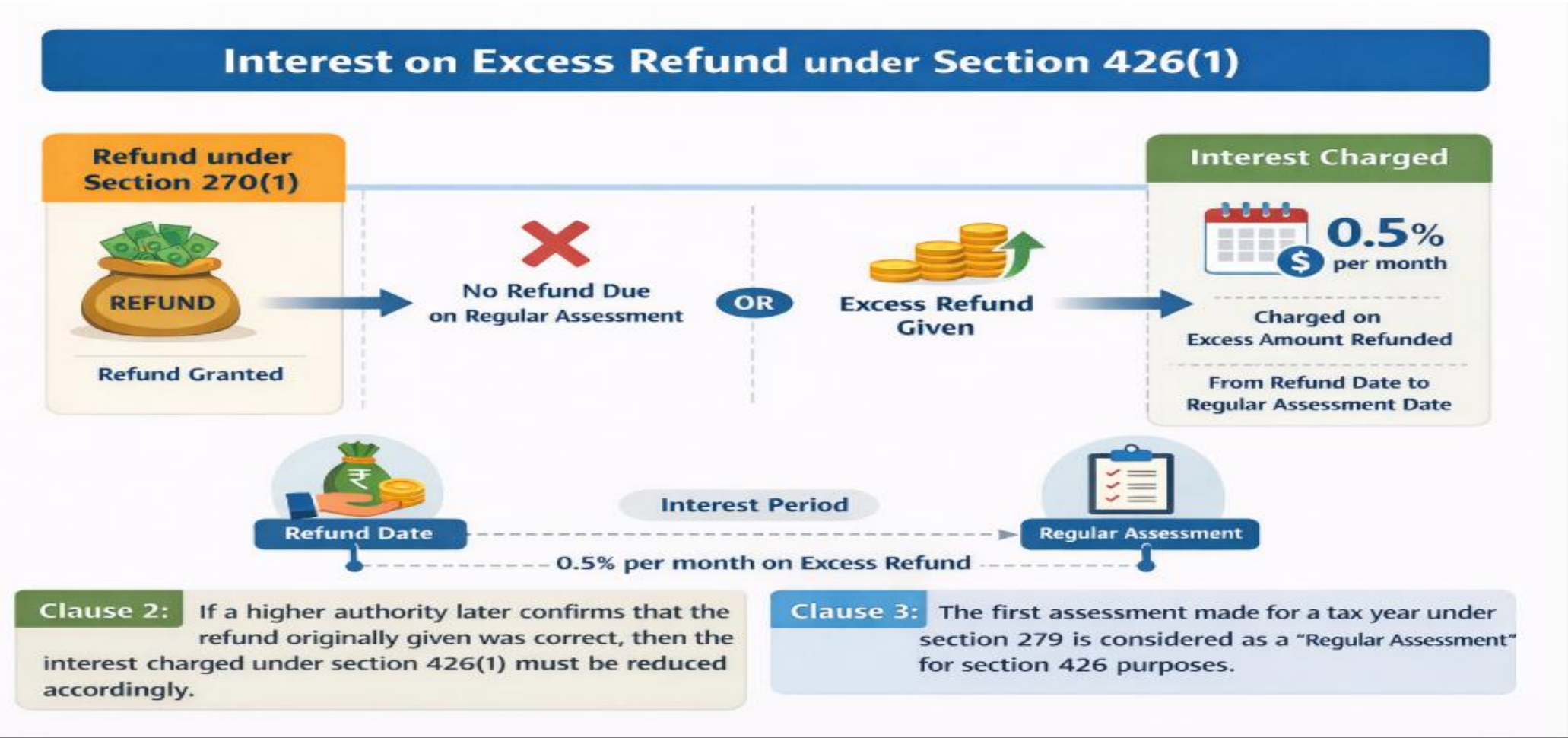






#### 4. Interest on excess refund - (*Section 426*)

Where a refund granted u/s 270(1) is not due or exceeds the eligible amount on assessment, the assessee shall be liable to pay simple interest as per the table below :





## 5. Fee for default in furnishing statements - (Section 427)

Where any person fails to furnish a statement of TDS/TCS(397(3)(b) or SFT reporting(508) as required under the prescribed sections, he shall be liable to pay a fee as per the table below :



### Section 427: Fee for Default in Furnishing Statements

Fee is payable for failing to furnish statements within the prescribed time.

| Failure to Furnish Statement u/s 397(3)(b)                                                                                                                                                      |                                                                                                                                  |                                                                                                                                                                    |                                                                                                                                                                 | Failure to Furnish Statement u/s 508                                                                                                                                                                             |                                                                                                                                    |                                                                                                                                               |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Applicability</b><br>(Sec. 427(1))<br><br>Failure to furnish statement u/s 397(3)(b) within prescribed time | <b>Fee Amount</b><br><br>₹200 per day for delay | <b>Maximum Limit</b><br><br>Shall not exceed amount of tax deductible/collectible | <b>Payment Condition</b><br><br>Fee must be paid before filing the statement | <b>Applicability</b><br>(Sec. 427(3))<br><br>Failure to furnish statement of financial transaction/reportable account u/s 508 | <b>Fee Amount</b><br><br>₹200 per day for delay | <b>Maximum Limit</b><br><br>₹1,00,000<br>Maximum ₹1,00,000 |


**Key Points**

-  Fee is charged for delay in furnishing statements.
-  Payment of fee is mandatory before submitting the statement (in case of Sec. 427(1)).





# 6. Fee for default in furnishing return of income, audited accounts and reports - (Section 428)

❖ Where any person required to furnish a return of income under section 263 fails to do so within the due date, he shall be liable to pay a fee as per the table below :



## Section 428: Fee for Default in Furnishing Return of Income, Audited Accounts & Reports

Fee shall be payable for failure to furnish return of income as per Section 263.

### CLAUSE (a)

#### Failure to Furnish Return of Income under Section 263

| Nature of Default                                                                                                                              | Time Condition                                                                                                                          | Total Income           | Fee Payable   |
|------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|------------------------|---------------|
|  <p>Failure to furnish return of income under Section 263</p> |  <p>Within due date specified under Section 263(1)</p> | <p>Up to ₹5,00,000</p> | <p>₹1,000</p> |
|                                                                                                                                                |                                                                                                                                         | <p>Above ₹5,00,000</p> | <p>₹5,000</p> |

### CLAUSE (b)

#### Furnishing Return under Section 263(5)

| Nature of Default                                                                                                                 | Time Condition                                                                                                                          | Total Income           | Fee Payable   |
|-----------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|------------------------|---------------|
|  <p>Furnishing return under Section 263(5)</p> |  <p>After 9 months from end of relevant tax year</p> | <p>Up to ₹5,00,000</p> | <p>₹1,000</p> |
|                                                                                                                                   |                                                                                                                                         | <p>Above ₹5,00,000</p> | <p>₹5,000</p> |

- Section 428 ensures timely filing of returns and compliance by prescribing a structured fee for delay.



- ❖ Fails to get accounts audited and furnish the audit report under section 63, or fails to furnish an accountant's report under section 172, he shall be liable to pay a fee as per the table below :



## Section 428

### Fee for default in furnishing return of income, audited accounts and reports

As per the Income Tax Act, 2025

| Clause                                                                                                                                                        | Default                                                                                               | Delay up to 1 Month                                                                                    | Delay Beyond 1 Month                                                                                     |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|
| (c)<br><br>Failure to get accounts audited and furnish audit report (Sec 63) | <b>₹75,000</b><br>  | <b>₹75,000</b><br>  | <b>₹1,50,000</b><br>  |
| (d)<br><br>Failure to furnish accountant's report (Sec 172)                 | <b>₹50,000</b><br> | <b>₹50,000</b><br> | <b>₹1,00,000</b><br> |

- Section 428 prescribes a structured fee for delay in furnishing return of income, audited accounts and reports.

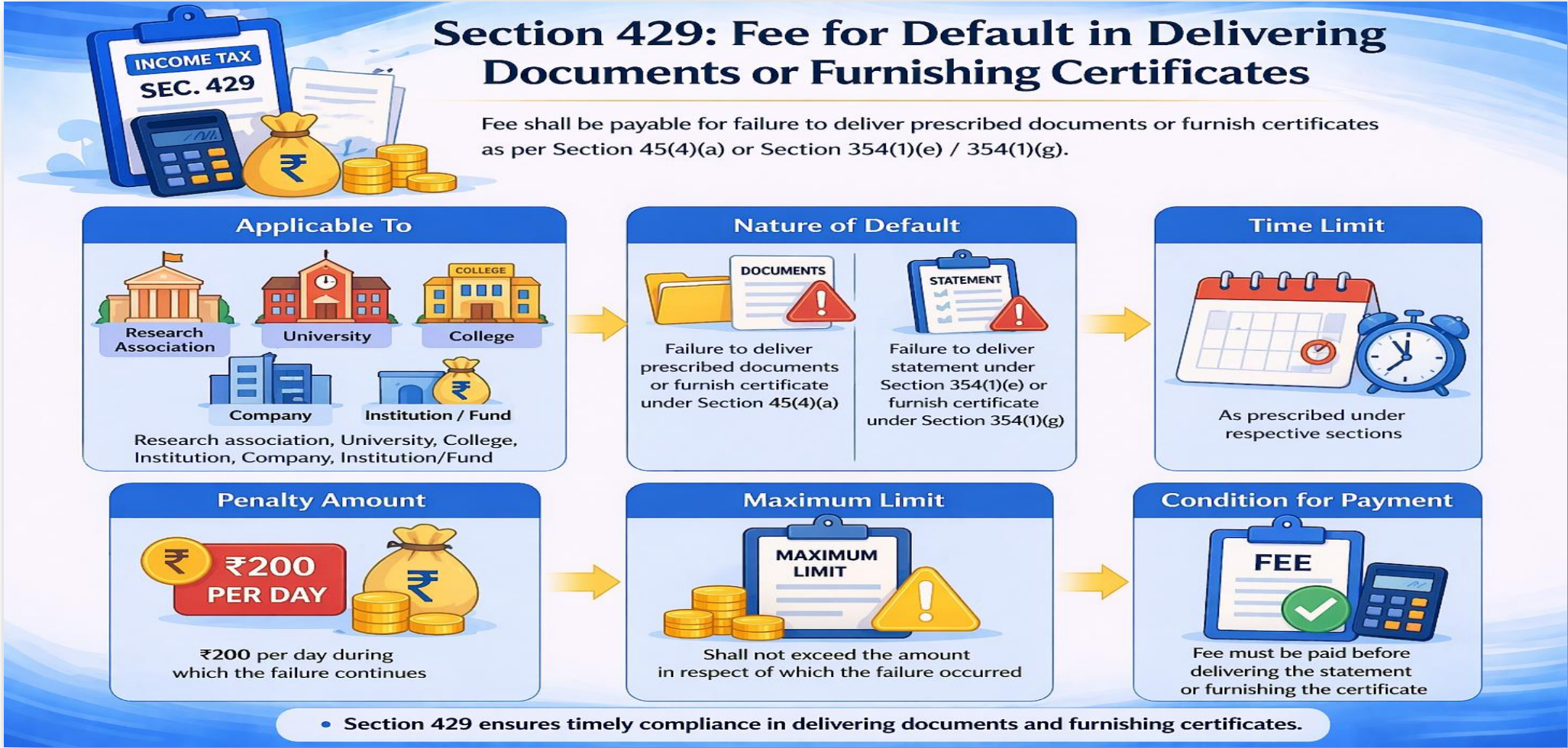
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# 7. Fee for default relating to statement or certificate - (Section 429)

Where a research association, university, college or other institution referred to in section 45(3)(a), or a company referred to in section 45(3)(b), fails to deliver or cause to be delivered the prescribed documents, it shall be liable to pay a fee as per the table below :



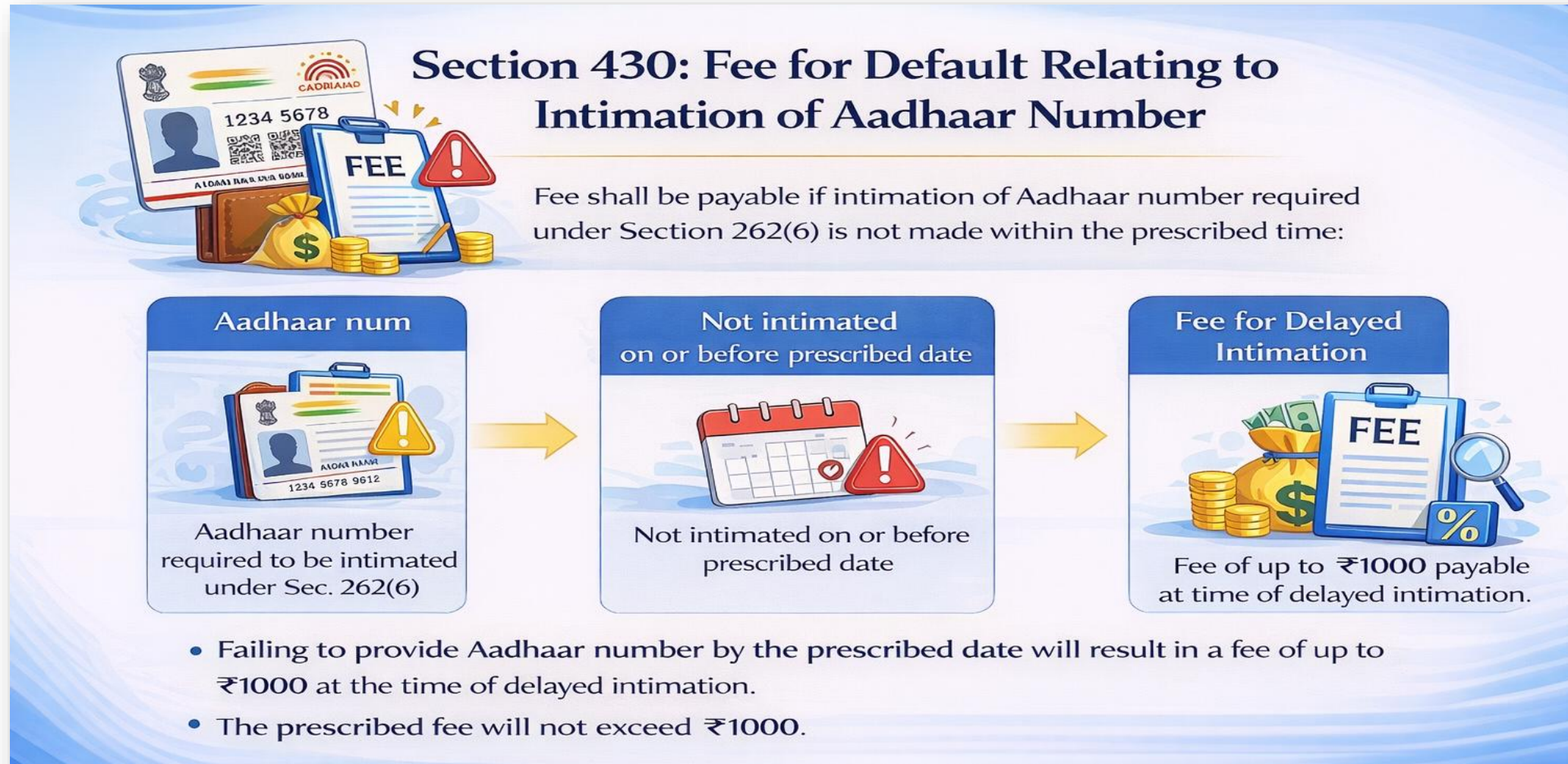
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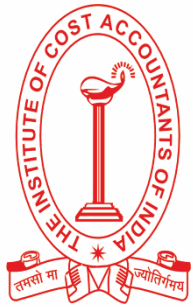


## 8. Fee for default relating to intimation of Aadhaar number - (Section 430)

Where a person required to intimate Aadhaar u/s 262(6) fails to do so, he shall be liable to pay a fee as per the table below :







**Illustration - 1**

Mr. Rohan, a resident individual, has the following details for Tax Year 2026–27:

- Total Income (after deductions): ₹12,00,000
- Tax liability (after rebate but before interest): ₹1,17,000
- TDS deducted: ₹20,000
- Self-assessment tax paid on: **30th November 2027** → ₹42,000
- Return of income filed on: **30th November 2027**
- Due date of filing return: **31st July 2027**

| Advance Tax Paid as follows |         |
|-----------------------------|---------|
| Date                        | Amount  |
| 15th June                   | ₹5,000  |
| 15th September              | ₹10,000 |
| 15th December               | ₹15,000 |
| 15th March                  | ₹25,000 |

Compute Interest payable under section 423,424 and 425 of Income Tax Act 2025 .

## Answer

- Net Tax Payable ₹1,17,000 - ₹20,000 = ₹97,000 ( Tax Liability – TDS )

### ➤ Interest u/s 423

Delay in filing return - Due date: 31 July 2027 = 4 Months Delay

- Actual filing: 30 November 2027

Tax unpaid on due date : 97,000 – (5000 + 10,000 + 15,000 + 25,000) = ₹42,000 ( Net Tax – Advance Tax paid )

**Interest u/s 423** = 1% × 42,000 × 4 months = **₹1,680**

### ➤ Interest u/s 424

Condition: Advance tax paid < 90% of tax liability

Advance tax paid = ₹55,000 , 90% of ₹97,000 = ₹87,300 (<90% → Interest applicable)

**Period** : 1 April 2027 to 30 November 2027 = **8 months**

**Interest u/s 424** = 1% × 42,000 × 8 = **₹3,360**

### ➤ Interest u/s 425

| Due Date (1) | Required Advance Tax (2) | Cumulative Paid Advance Tax (3) | Shortfall (2)-(3) =(4) | Interest Calculation (4) × (Interest %) |
|--------------|--------------------------|---------------------------------|------------------------|-----------------------------------------|
| 15 th June   | ₹14,550                  | ₹5,000                          | ₹9,550                 | 9,550 × 3% = <b>₹287</b>                |
| 15 th Sept   | ₹43,650                  | ₹15,000                         | ₹28,650                | 28,650 × 3% = <b>₹860</b>               |
| 15 th Dec    | ₹72,750                  | ₹30,000                         | ₹42,750                | 42,750 × 3% = <b>₹1,283</b>             |
| 15 th March  | ₹97,000                  | ₹55,000                         | ₹42,000                | 42,000 × 1% = <b>₹420</b>               |

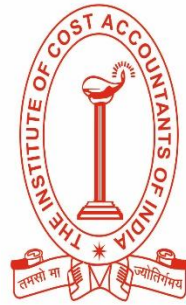
**Interest u/s 425** = 287+860+1,283+420 = **₹2,850**



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# Thank You



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(Under the jurisdiction of Ministry of Corporate Affairs)

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